



**Financial Statements for the Year Ended
31 December 2021**

Together with Auditor's Report

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INDEPENDENT AUDITOR'S REPORT

To the Board of Directors and the Board of Governors of Black Sea Trade and Development Bank

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Black Sea Trade and Development Bank (the Bank), which comprise the statement of financial position as at 31 December 2021 and the statements of income and comprehensive income, changes in equity and cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of Black Sea Trade and Development Bank as at 31 December 2021, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs) as these have been incorporated into Greek legislation. Our responsibilities under those standards are further described in the "Auditor's Responsibilities for the Audit of the Financial Statements" section of our report. We have been independent of the Bank during the whole period of our appointment in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) as incorporated into Greek legislation and the ethical requirements in Greece relevant to the audit of the financial statements and we have fulfilled our ethical requirements in accordance with the applicable legislation and the above mentioned Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter

We draw your attention to note 28 of the financial statements where it is described the negative impact of the geopolitical turmoil in Ukraine and Russia, that begun in February 2022, on the quality of some of the Bank's assets.

Our report is not qualified in respect to this matter.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current year. These matters and the assessed risks of material misstatements were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How the matter was addressed in our audit
Expected Credit Loss on Loans at amortized cost	
Loans at amortized cost of the Bank amounted to EUR 2,329 million as at 31 December 2021 (EUR 2,030 million as at 31 December 2020) and loss impairment to EUR 44 million (EUR 56 million as at 31 December 2020) as presented on the Statement of Financial Position. The Bank measures Expected Credit Losses (ECL) for loans at amortized cost both on an individual and a collective basis. The estimation of ECL on loans at amortized cost is considered a key audit matter as it is a complex calculation that involves the use of a number of assumptions and parameters such as probability of default (PD), Loss Given Default (LGD) and Exposure at Default (EAD) as well as assumptions around the inputs used and probability weight of the multiple economic scenarios. Significant Management judgements also relates to the criteria used for the staging assessment of loans at amortized cost. Management provided further information about principles and accounting policies for determining the allowance for impairment on loans at amortized cost and the management of credit risk in notes 3.6, 5, 12 and 15 to the financial statements.	Based on our risk assessment and following a risk based approach, we have evaluated the impairment methodologies applied and assumptions made by Management in relation to this key audit matter, which included, inter alia, the following audit procedures: - we obtained an understanding of the procedures and evaluated the design and implementation of relevant internal controls within the business process. - we assessed the appropriateness of the Bank's IFRS 9 impairment methodologies. - with the support of our internal financial risk modeling specialists we assessed the reasonableness of Management's assumptions and input data used in the model, including the analysis of the forecasted macroeconomic variables. We tested the mechanical elements of the calculations such as the EAD, the PD and stage allocation and reperformed the calculation of the ECL on a sample basis. - we tested the accuracy and completeness of critical data used in the ECL calculation by agreeing a sample of ECL calculation data points to source systems or documentation. - on a sample basis we assessed the reasonableness of the estimated expected credit loss for the individually assessed credit impaired exposures. We assessed the adequacy and completeness of the Bank's disclosures in respect of credit risk, structure and quality of loan portfolio and impairment allowance in accordance with IFRS 9.

Other Information

Management is responsible for the other information. The other information comprises the information included in the Annual report but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement in this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and for such internal control as Management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, Management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless Management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

The Audit Committee of the Bank is responsible for overseeing the Bank's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs, as these have been incorporated into Greek legislation, will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, as these have been incorporated into Greek legislation, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by Management.
- Conclude on the appropriateness of Management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.



We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters.

Athens, 6 June 2022

The Certified Public Accountant

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INCOME STATEMENT

For the year ended 31 December 2021

Presented in thousands of EUR	Note	2021	2020
Interest and similar income	7	105,171	97,856
Interest and similar expense	8	(58,492)	(61,048)
Net interest income (expense) on derivatives	9	13,799	7,427
Net interest income		60,478	44,235
Net fees and commissions	10	1,971	2,040
Dividend income		-	164
Net gains from equity investments through profit or loss	16	182	284
Net gains (losses) on derecognition of debt investment securities at fair value through other comprehensive income		4,855	(1,752)
Net (losses) on derecognition of financial liabilities at amortized cost		-	(2,049)
Unrealized net fair value gains (losses) on derivative instruments		(16,602)	7,410
Fair value gains (losses) on loans measured at fair value through profit or loss		683	(229)
Fair value (losses) on equity investments measured at fair value through profit or loss		-	(7)
Foreign exchange (losses) income		(559)	78
Other (losses) income		(4)	(4)
Operating income		51,004	50,170
Personnel expenses	11,26	(16,352)	(16,097)
Administrative expenses	11	(4,574)	(4,161)
Depreciation and amortization	18,19	(478)	(525)
Income before impairment		29,600	29,387
Impairment gains (losses) on loans measured at amortized cost	12	11,882	(12,894)
Impairment gains (losses) on debt investment securities measured at fair value through other comprehensive income		2,415	(2,278)
Income for the year		43,897	14,215

The accompanying notes, on pages 11 to 74 are an integral part of these financial statements

STATEMENT OF COMPREHENSIVE INCOME

For the year ended 31 December 2021

Presented in thousands of EUR	Note	2021	2020
Income for the year		43,897	14,215
Other comprehensive income (expense):			
Items that will not be reclassified subsequently to profit or loss:			
Actuarial (losses) gains on defined benefit scheme	24	2,310	(2,036)
Gains (losses) on equity investments financial assets	24	6,047	(3,577)
Items that are or may be reclassified subsequently to profit or loss:			
Gains (losses) on investment securities financial assets	24	(9,747)	4,697
Gains (losses) on cash flow hedges	24	(493)	-
Other comprehensive (expense) income		(1,883)	(916)
Total comprehensive income		42,014	13,299

The accompanying notes, on pages 11 to 74 are an integral part of these financial statements

STATEMENT OF FINANCIAL POSITION

At 31 December 2021

Presented in thousands of EUR	Note	2021	2020
Assets			
Cash and due from banks	25	170,175	34,328
Deposits in margin accounts		30,740	26,240
Debt investment securities at fair value through other comprehensive income	13	652,448	687,961
Derivative financial instruments – assets	14	24,279	26,701
Loans at amortized cost	5,15	2,329,424	2,030,396
Less: deferred income	15	(14,700)	(13,813)
Less: impairment losses	5,12	(44,223)	(55,937)
Loans at fair value through profit or loss	15	15,014	12,525
Loans		2,285,515	1,973,171
Equity investments at fair value through profit or loss	5,16	791	791
Equity investments at fair value through other comprehensive income	5,16	24,986	25,519
Equity investments at fair value		25,777	26,310
Accrued interest receivable	15	27,181	23,512
Other assets	17	15,954	9,490
Property and equipment	18	368	429
Intangible assets	19	200	298
Right of use assets	22	245	579
Total Assets		3,232,882	2,809,019
Liabilities			
Short-term	20	167,756	111,120
Amounts due to financial institutions	20	438,293	315,992
Debt evidenced by certificates	20	1,657,416	1,465,218
Accrued interest payable	20	10,936	9,384
Borrowings		2,274,401	1,901,714
Margin accounts		16,590	22,920
Derivative financial instruments – liabilities	14	45,869	28,935
Other liabilities	21	10,257	11,359
Lease liability	22	43	383
Total liabilities		2,347,160	1,965,311
Members' Equity			
Authorized share capital	23	3,450,000	3,450,000
Less: unallocated share capital	23	(1,161,500)	(1,161,500)
Subscribed share capital	23	2,288,500	2,288,500
Less: callable share capital	23	(1,601,950)	(1,601,950)
Paid-in share capital		686,550	686,550
Reserves	24	100,312	58,298
Retained earnings		98,860	98,860
Total members' equity		885,722	843,708
Total Liabilities and Members' Equity		3,232,882	2,809,019
Off-balance-sheet items			
Commitments	5	237,471	274,031

The accompanying notes, on pages 11 to 74 are an integral part of these financial statements

STATEMENT OF CHANGES IN MEMBERS' EQUITY

For the year ended 31 December 2021

Presented in thousands EUR	Share capital			Reserves	Retained Earnings	Total
	Subscribed	Callable	Payable			
At 31 December 2019	2,288,500	(1,601,950)	-	54,009	89,850	830,409
Income for the year	-	-	-	-	14,215	14,215
Other comprehensive income:						
Net gains (losses) on						
financial assets at fair						
value reserve through OCI	-	-	-	1,120	-	1,120
Actuarial (losses) gains on						
defined benefit scheme	-	-	-	(2,036)	-	(2,036)
Total comprehensive income						
for the year	-	-	-	(916)	14,215	13,299
Members' contributions	-	-	-	-	-	-
Transfer to general reserve	-	-	-	5,205	(5,205)	-
Total contributions	-	-	-	5,205	(5,205)	-
At 31 December 2020	2,288,500	(1,601,950)	-	58,298	98,860	843,708
Income for the year	-	-	-	-	43,897	43,897
Other comprehensive income:						
Net (losses) gains on						
financial assets at fair						
value reserve through OCI	-	-	-	(3,700)	-	(3,700)
Actuarial gains (losses) on						
defined benefit scheme	-	-	-	2,310	-	2,310
Effective portion of cash flow						
hedges (losses) gains	-	-	-	(493)		(493)
Total comprehensive income						
for the year	-	-	-	(1,883)	43,897	42,014
Members' contributions	-	-	-	-	-	-
Transfer to general reserve	-	-	-	43,897	(43,897)	-
Total contributions	-	-	-	43,897	(43,897)	-
At 31 December 2021	2,288,500	(1,601,950)	-	100,312	98,860	885,722

The accompanying notes, on pages 11 to 74 are an integral part of these financial statements

Notes to the Financial Statements

4.1 Covid-19

The continuation of the Covid-19 pandemic means that the Bank could face additional credit, market and operational risks. The duration of the pandemic is difficult to predict at this time, as are the extent and effectiveness of economic interventions by the governments and central banks in the region of the Bank's operations. The Bank continues to monitor the developments and to manage the risks associated with the Bank's various portfolios within existing financial policies and constraints. The two main areas that affect the Bank's judgement and estimates are:

1. The Bank's equity investments which will likely see a reduced fair value due to the downward pressure, although the Bank has a small portfolio such investments, and therefore the Bank's profitability will not be materially impacted.
2. The Bank's loan portfolio due to business disruption that can occur in economic activity in the region will put pressure for borrowers, affecting those operating primarily in the service and consumer goods industries. This could likely force debt restructuring and an increase in defaults among less robust operations. The Bank's profitability could be impacted by a severe increase in ECL on performing loans, driven by worsening of the macro-economic outlook scenarios.

With regard of the Bank's operational risk the information technology (IT) systems have proven they are stable, powerful and flexible, as the majority of the Bank's staff were working successfully remotely. The Bank is also investing in new IT infrastructure to expand digital and cloud transformation, as well as strengthening the Bank's cybersecurity and internal control systems.

Notes to the Financial Statements

5. RISK MANAGEMENT

The Bank's activities are subject to a variety of risks, some of which are not within the Bank's control: including risks relating to changes in interest rates, foreign exchange rates, declines in liquidity and deterioration in the credit quality of its loan portfolio. The Bank monitors and manages the maturities of its loans, its interest rate and exchange rate exposure, its liquidity position and the credit quality of each individual loan and equity investment in order to minimize the effects of changes in them relative to the Bank's profitability and liquidity position. The BoD has approved risk management policies and guidelines that are delegated to the Management of the Bank for the identification and measurement of risk, as well as being subject to risk limits and controls.

To manage risks the Bank has established an Asset and Liability Committee (ALCO), a Credit Committee (CC) that implement the Bank's credit and lending policies, the Legal Affairs Department, the Risk Management Department and the Financial Analysis Department, which together are responsible for devising, implementing and monitoring the Bank's risk management policies, including financial, credit and market risks.

The ALCO is responsible for monitoring and managing the Bank's overall asset and liability position in accordance with the Bank's treasury policies. It monitors and manages the Bank's liquidity position, maturity gaps, interest income and expense and the condition of the international financial markets and is responsible for assigning market risk limits. The ALCO consists of members of the Bank's Management and a member of the Treasury Department and has regular monthly meetings.

The Credit Committee is responsible with respect to credit matters. Its key responsibilities include: approval of lending operations for submission to the BoD for final approval, establishing specific parameters (e.g. policies, limits, targets, guidelines) for operational decision-making, approval of changes to the manuals that prescribe how operations are to be analyzed, approved, administered and monitored and approval of any amendments, restructuring and other operation-related matters. The Credit Committee consists of members of the Bank's Management, and has regular meetings as required to monitor and manage overall risk concentration by reference to borrower and industry exposure and critically reviews each individual loan and equity investment proposal made by the lending business areas. A major function of the Credit Committee is to minimize the credit risk presented by each individual loan and equity investment proposal, and the overall portfolio risk of the Bank.

Once an operation is approved and disbursed, it is then monitored to ensure thorough and regular evaluations of its credit quality. Operations are monitored according to a schedule coordinated by the of Project Implementation and Monitoring Department, with inputs from the originating Operation Teams regarding the availability of financial data. Monitoring reports are completed by the Bank's Project Implementation and Monitoring Department based on financial analysis prepared by the Financial Analysis Department. Risk asset reviews, based on the previously mentioned monitoring reports, are performed by the Risk Management Department, and may result in a downgrade or upgrade of an operation's status and, if a significant deterioration is noted, trigger an impairment test.

Should an operation display signs of weakness during the regular monitoring and/or through risk asset reviews, an impairment test is immediately carried out by the Risk Management Department and appropriate remedial actions are taken, as required. These measures include, but are not limited to, a detailed assessment of the financial and operational performance of the operation, additional due diligence, stopping disbursement of any undisbursed amounts, preparation of remedial strategies and carrying out further impairment tests. Besides, in addition to regular site visits carried out by the Operations Teams, such a visit can be conducted by the Project Implementation and Monitoring Department and, when appropriate, accompanied by the Financial Analysis Department.

Notes to the Financial Statements

For the Bank a conservative approach to risk taking together with effective risk management, are critical to the Bank's continuing operations. The application of sound banking principles in the Bank's credit process seeks to ensure that the significant credit risks are properly identified and managed while other risks resulting from its activities are mitigated to the extent possible.

Importantly, the Bank is recognized as an international financial institution, and as such can expect to benefit from the preferred creditor status customarily and historically afforded to such institutions. This preferred creditor status serves to provide an additional layer of comfort against the risks of non-payment on sovereign debt or by private sector borrowers as a result of local laws creating a delay or freeze on foreign-currency exchanges. The Bank is exposed to the following risks discussed below.

Financial Risk

The Bank's exposure to financial risk is through its financial assets and financial liabilities including any receivables from these financial assets. The key aspects of the Bank's financial risk are (i) credit risk (ii) liquidity risk and (iii) market risk.

a) Credit risk

The Bank is subject to credit risk, which is the risk that customers or counterparties will be unable to meet their obligations as they fall due. Credit risk arises principally from the Bank's lending activities as well as other activities where the Bank is exposed to counterparty default risk. Regular reviews by the departments of Risk Management, Financial Analysis and Project Implementation and Monitoring are conducted of all exposures within the lending portfolios, typically on a semi-annual basis, though exposures that are perceived to be more vulnerable to possible default are reviewed more frequently.

At each review there is (i) an assessment of whether there has been any change in the risk profile of the exposure (ii) recommendations of actions to mitigate risk and (iii) reconfirming or adjusting the risk ratings, and for equity investments, reviewing of fair value. Where relevant, the level of the expected credit loss is evaluated and reconfirmed or adjusted. Responsibility for operations considered to be in jeopardy may be transferred from the original lending department to a corporate recovery team in order to most effectively manage the restructuring and recovery process.

For credit risks incurred by the Bank's Treasury in its investment and hedging activities, the BoD has approved policies and guidelines for the determination of counterparty and investment exposure limits in bonds, that includes member state bonds, and euro commercial paper. The Bank's Risk Management Department assigns and monitors these counterparty and issuer credit risk limits. Treasury credit risks are also reviewed on a regular basis by the Bank's ALCO.

The table below summarizes the maximum exposure to credit risk without taking into consideration collateral, other credit enhancements or provisions of impairment.

	At 31 December 2021	At 31 December 2020
Presented in EUR (000)		
Cash and due from banks	170,175	34,328
Deposits in margin accounts	30,740	26,240
Debt investment securities	652,448	687,961
Derivative financial instruments	24,279	26,701
Loans	2,344,438	2,042,921
Equity investments	25,777	26,310
Accrued interest receivable	27,181	23,512
Other assets	15,954	9,490
On-balance-sheet	3,290,992	2,877,463
Undrawn commitments	237,471	274,031
Total	3,528,463	3,151,494

Notes to the Financial Statements

a1. Analysis by rating agency

The tables below provide an analysis of financial assets, excluding loans which are separately provided below in credit risk analysis, in accordance with their Moody's (or if not by Moody's than the equivalent of Standard and Poor's or Fitch) rating, as follows.

Presented in EUR (000)	2021				Total
	Aaa – Aa3	A1 – A3	Baa1 – Ba3	Unrated	
Analysis by Moody's rating					
Cash and bank balances	170,175	-	-	-	170,175
Deposits in margin accounts	20,100	10,640	-	-	30,740
Debt investment securities	9,063	553,167	90,218	-	652,448
Derivatives financial instruments		-	-	24,279	24,279
Equity investments	-	-	-	25,777	25,777
Accrued interest receivable	-	-	-	27,181	27,181
Other assets	-	-	-	15,954	15,954
At 31 December	199,338	563,807	90,218	93,191	946,554
Of which issued by					
Corporates/governments	9,063	553,167	90,218	25,777	678,225
Cash deposits at banks	190,275	10,640	-	-	200,915
Other	-	-	-	67,414	67,414
At 31 December	199,338	563,807	90,218	93,191	946,554
Of which classified as					
Fair value through profit or loss	-	-	-	25,070	25,070
Fair value through other comprehensive income	9,063	553,167	90,218	24,986	677,434
Amortized cost	190,275	10,640	-	43,135	244,050
At 31 December	199,338	563,807	90,218	93,191	946,554

Notes to the Financial Statements

	2020				
Presented in EUR (000)	Aaa – Aa3	A1 – A3	Baa1 – Ba3	Unrated	Total
Analysis by Moody's rating					
Cash and bank balances	34,328	-	-	-	34,328
Deposits in margin accounts	26,240	-	-	-	26,240
Debt investment securities	93,950	353,346	240,665	-	687,961
Derivatives financial instruments	-	-	-	26,701	26,701
Equity investments	-	-	-	26,310	26,310
Accrued interest receivable	-	-	-	23,512	23,512
Other assets	-	-	-	9,490	9,490
At 31 December	154,518	353,346	240,665	86,013	834,542
Of which issued by					
Corporates/governments	93,950	353,346	240,665	26,310	714,271
Cash deposits at banks	60,568	-	-	-	60,568
Other	-	-	-	59,703	59,703
At 31 December	154,518	353,346	240,665	86,013	834,542
Of which classified as					
Fair value through profit or loss	-	-	-	27,492	27,492
Fair value through other comprehensive income	93,950	353,346	240,665	25,519	713,480
Amortized cost	60,568	-	-	33,002	93,570
At 31 December	154,518	353,346	240,665	86,013	834,542